

INSURANCE AND PENSIONS COMMISSION



HALF YEAR REPORT
FOR
SELF ADMINISTERED PENSION FUNDS

HALF YEAR ENDED 30 JUNE 2013

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2.0 Industry Overview

The report is centered on 13 standalone funds, 4 fund administrators, and two life assurers for the quarter ended 30 June 2013. Fines were levied on players who failed to submit returns by 21 July 2013, after the mandatory 3 weeks after the end of the quarter.

For the period under review, self administered funds reported contributions amounting to \$244million though only \$91million or 37% were paid (March 2013:\$55million or 28%). This no doubt confirms that arrear contributions issue is a major challenge in the industry.

The other major challenge was high expense ratios which have a corrosive effect on members' pension values and benefits. The average expense to contribution ratio was 21%.

The total asset base for the industry was \$1.7 billion, a 7% growth from the previous quarter. Prescribed assets were at 1% partly due to non-availability of approved paper(See Table 1, below).

2.2 Financial Summary for Self Administered Funds -30 June 2013

Item	Standalone Funds			Insurer Administered Funds			Fund Administrators			TOTALS		
	Mar 2013	June 2013	%	Mar 2013	June 2013	%	Mar 2013	June 2013	%	Mar 2013	June 2013	%
Arrear Contributions (\$000)	108,898	114,266	5	12,704	13,246	4	22,653	25,314	12	144,255	152,826	6
Total Contributions (Incl.Arrears) (\$000)	135,819	155,537	15	21,941	35,707	63	41,282	52,663	28	199,042	243,907	23
Total Contributions (Excl. Arrears) (\$000)	26,921	41,072	53	9,237	22,461	143	18,629	27,349	47	54,787	90,882	66
Total Income (\$000)	43,923	70,916	61	22,093	43,198	96	27,837	50,650	82	93,853	164,764	76
Total Benefits	11,480	24,824	116	3,610	7,931	120	6,132	10,643	74	21,222	43,398	104
Total Expenses (\$000)	6,587	13,630	107	1,342	6,373	375	6,052	10,221	69	13,981	30,224	116
Net Income(\$000)	37,336	32,462	(13)	20,751	28,894	39	21,785	29,786	37	79,872	91,142	14
(Expense/Contributions)%	15	33	18	15	28	13	32	37	5	26	21	(5)
(Expense/Total Income)%	15	19	4	6	15	9	22	20	(2)	15	13	(2)
Total Assets (\$000)	1,003,514	1,084,341	8	224,056	226,278	1	398,130	436,421	10	1,625,700	1,747,040	7
Prescribed Assets (\$000)	9,311	8,942	(4)	4,040	3,556	(12)	13,435	13,226	(2)	26,786	25,724	(4)
Prescribed Asset Ratio (%)	1	1		2			3	3	-	2	1	1



SECTION A

STAND ALONE FUNDS

3.0 Standalone Self Administered Pension Funds

This report is based on 14 standalone funds (See Table 1, below).

Table 1: Standalone Self Administered Pension Funds

Fund Name	June 2013
Catering Industry Pension Fund	1
Clothing Industry Pension Fund	1
Communication and Allied P/Fund	1
Construction Industry P/Fund	1
Local Authorities Pension Fund	1
Mining Industry Pension Fund	1
NRZ Pension Fund	1
ZB Financial Holdings P/Fund	*
ZMDC Group Pension Fund	1
ZESA Pension Fund	1
GMB	1
Zimpapers	*
ZESA	1
Motor Industry	1
Ernst & Young	1
Aon Zimbabwe P/F	*
Pentact P/F	1
TOTALS	14

*Returns not submitted

4.0 Pension Fund Membership

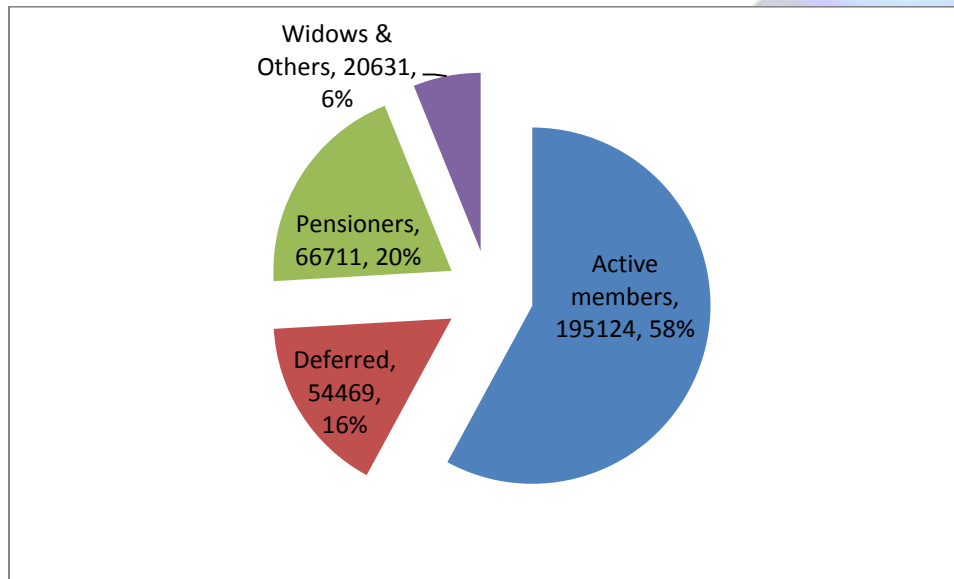
Fund membership was composed of actives-195 000 or 58%, 54 000 or 16% deferred members, 67000 or 20% being pensioners and 21000 or 6% were beneficiaries. Exits were 2 000 (See Table 2 and Figure 1, below).

Table2: Membership per Stand alone Fund for the second quarter ended 30 June 2013

Fund Name	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth
Catering IPF	-	17877		-	276		-	48193		-	0		-	-			66346	
Clothing IPF	11265	11389	1%	457	481	6%	457	-	5%	0	0	0	(208)	(202)	(3%)	11722	11870	1%
CAIPF	3578	3403	(5%)	2334	4422	89%	2334	1232	(43%)	2845	2848	-	(78)	(116)	49%	9683	11905	23%
CIPF	60750	51875	(15%)	5529	5539	-	52	60	4%	88	101	15%	(364)	(327)	10%	66419	57575	(13%)
LAPF	20075	20092	-	-	-	0%	-	4166	-	7607	7613	-	(99)	(70)	(29%)	31768	31871	-
MIPF	29349	29472	-	41300	41228	-	1456	6945	377%	1147	1171	2%	(793)	(1456)	84%	78593	78816	-
NRZ	7129	7134	-	1811	1824	1%	5670	5592	(1%)	7949	8648	9%	(156)	(173)	11%	22559	23198	3%
ZB FHGPF	1019			822			822			186			(45)			2160		
ZMDC P/F	-	192		-	0		-	62		-	78		-	(2)		-	332	-
ZESA PF	6,947	6711	(3%)	-	0	-	-	216	-	90	141	57%	*	*	-	7,221	7068	(2%)
GMB	2071	2040	(1%)	697	699	-	697	18	(97%)	0	0		(2)	(23)	1050%	2800	2757	(2%)
Zimpapers	*	*		*	*		*	*		*	*		*	*		*	*	-
Motor Ind	44596	44783	-	0	0	0	0	141	-	29	31	1%	-	-		44761	44955	-
Ernst & Young	159	152	(4%)	0	0		0	86	0	0	0	-	(10)	-	-	242	238	(2%)
Pentact P/F	4	4	0%	0	0	0	0	0	0	0	0	0	0	0	0	4	4	0
AON ZimP/F	-	*		0	0		0	*		0	0		-	*		-	*	-
Totals	186942	195124	4%	52950	54469	3%	52950	66711	26%	19941	20631	3%	(1755)	(2369)	35%	277924	336935	21%

***Returns not submitted**

Figure 1: Membership for Stand alone Funds for the second quarter ended 30 June 2013



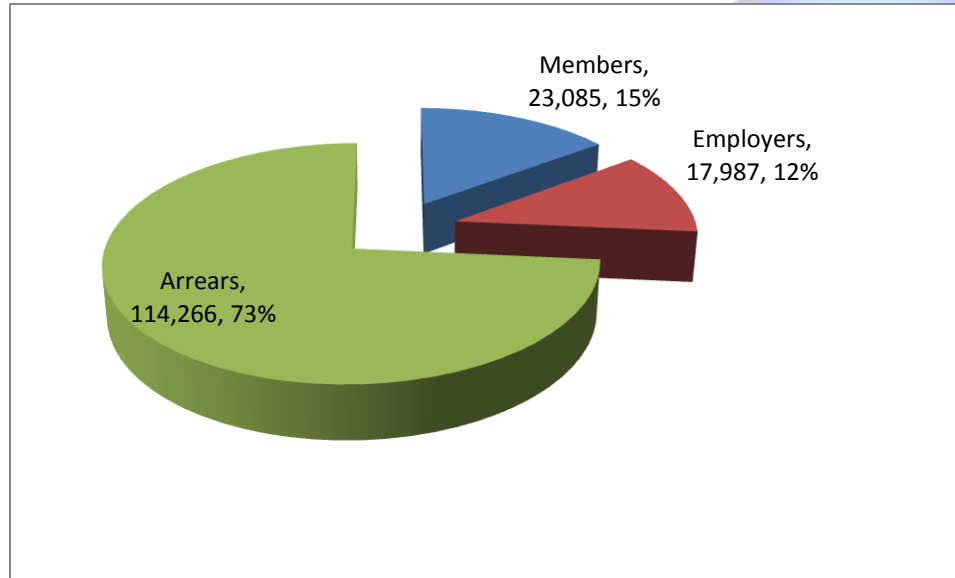
5.0 Contributions

Employer contributions were in the sum of \$129million or 83% of total contributions (March 2013:88%or \$120million). On the other hand, member contributions were \$26million or 17%(March 2013: \$16million or 12%). However \$114million or 73% of total contributions were in arrears. Repayment efforts are underway with IPEC monitoring the tendered payment plans (See Table 3 and Figure 2, below).

Table 3: Contributions Statistics per Stand alone Fund for the second quarter ended 30 June 2013

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth
Catering IPF	-	563		*	563		-	51		-	-		-	1,177	-
Clothing IPF	286	361	26%	400	505	26%	195	189	(3%)	967	1,039	7%	1,848	2,283	25%
CAIPF	359	622	73%	1,076	1,868	74%	487	1,076	121%	4,920	4,286	(13%)	6,842	7,852	15%
CIPF	502	1,019	103%	502	1,019	103%	-	-	-	349	363	4%	1,353	2,401	77%
LAPF	4,927	9,840	100%	1,703	3,446	102%	-	-		75,865	82,366	9%	82,495	95,662	16%
MIPF	3,418	7,404	117%	3,419	7,433	117%	-	-	-	2,722	2,616	(4%)	9,559	17,453	83%
NRZ	922	1,828	98%	0	0	0	0	-		14,645	15,830	8%	15,567	17,658	13%
ZB FHGPF	207	*		306	*		-	*		-	*		513	*	
ZMDC	-	39		-	94		-	-		-	380		-	513	-
ZESA PF	1,675	659	(61%)	3,560	1,400	(61%)	2,000	939	(53%)	3,878	1,996	(49%)	11,113	4,994	(55%)
GMB	139	271	95%	467	937	101%	-	82	-	615	899	46%	1,221	2,189	79%
Zimpapers	*	*		*	*		*	*		*	*		*	*	
Motor Ind	539	390	(28%)	809	584	(28%)	-	573	-	2,255	1,581	(30%)	3,603	3,128	(13%)
Ernst&Young	46	89	93%	71	137	93%	0	-		0	-		117	226	93%
Pentact P/F	0,441	0,463	-	1	1	-	0	0	0	0	0		1	1	5%
AON Zimbabwe P/F	-	*		-	*			*			*			*	
Total	13,461	23,085	74%	13,460	17,987	50%	2,682	2,910	7%	106,216	111,356	4%	135,819	155,537	14%

Figure 2: Contributions Statistics for Stand alone Funds for the second quarter ended 30 June 2013(\$000)



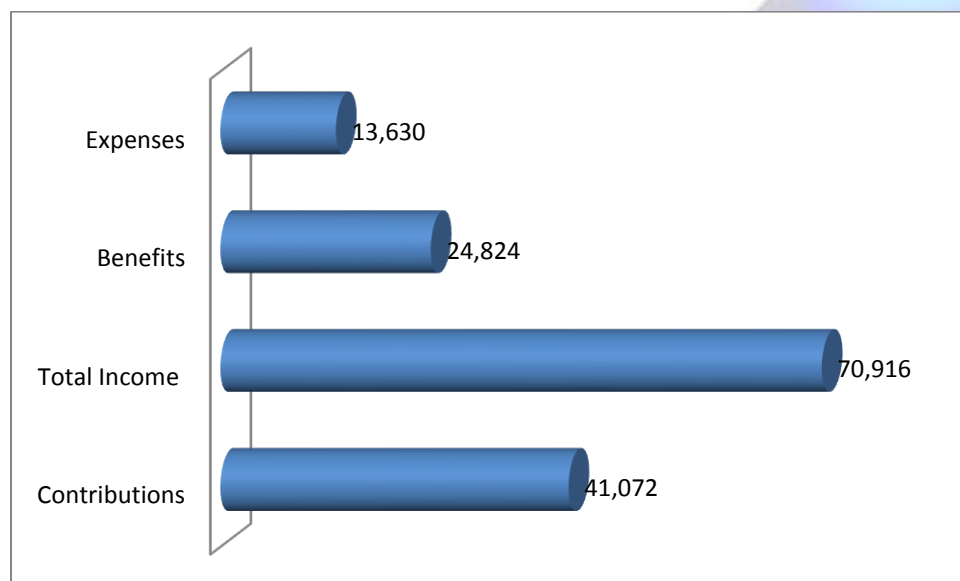
6.0 Income and Expenditure

For the period under review, total received contributions were \$41million, a 90% growth from \$27million reported previously. However total expenses were \$14million (March 2013:\$7million). Consequently the expenses to contribution ratio was 33% (March 2013:15%). If not managed efficiently and effectively expenses have got a negative effect on member values and benefits. IPEC will continue to probe this scenario with a view to lowering expenditure to not more than 10 % (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Stand alone Fund for the second quarter ended 30 June 2013(\$000)

Fund Name	Total Contributions(Excl arrears) \$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth
Catering IPF	-	1,126	-	-	1,774	-	-	260	-	-	543	-	-	48%	-	-	31%	
Clothing IPF	686	866	26%	795	1,694	121%	178	305	71%	223	340	52%	33%	39%	6%	28%	20%	(8%)
CAIPF	1,435	2,490	74%	6,418	8,060	26%	1,731	4,060	135%	627	1,011	61%	44%	41%	(3%)	10%	13%	3%
CIPF	1,004	2,038	103%	1,808	3,603	99%	120	303	153%	503	1,070	113%	50%	53%	3%	28%	30%	2%
LAPF	6,630	13,286	100%	8,765	17,852	104%	3,408	6,023	77%	458	1,046	128%	7%	8%	1%	5%	6%	1%
MIPF	6,837	14,837	117%	9,246	19,658	113%	3,075	6,044	97%	3,315	7,864	137%	48%	59%	(11%)	36%	40%	4%
NRZ	922	1,828	98%	5,231	10,618	104%	2,395	6,842	186%	397	830	109%	43%	45%	2%	8%	8%	-
ZB FHGPF	513	-		863		-	146	-		26	-	-	5%	-	-	3%	-	-
ZMDC	-	133	-	-	238	-	-	111	-	-	31	-	-	23%		-	13%	-
ZESA PF	5,235	2,059	(61%)	5,653	2,647	(53%)	104	209	101%	367	268	(27%)	7%	13%	6%	6%	10%	(4%)
GMB	606	1,208	99%	705	1,403	99%	3	*		142	-	*	23%	-		20%	-	-
Zimpapers	*	-		*	*		*	*		*	*		*	*		*	*	-
Motor Ind	1,348	974	(28%)	2,731	3,028	11%	293	634	116%	311	607	95%	23%	62%	39%	11%	20%	9%
Ernst&Young	117	226	93%	130	338	160%	27	33	22%	8	20	150%	7%	9%	2%	6%	6%	-
Pentact P/F	1	1	-	4	3	(25%)	0	0	0	-	-	-	13%	-	12%	13%	-	-
Aon Zim P/F	-			-	*		-	*		-	*		-	*	-	-	*	-
Totals	26,921	41,072	90%	43,933	70,916	89%	11,480	24,824	116%	6,587	13,630	107%	15%	33%	18%	15%	19%	4%

Figure 3: Income and Expenditure for Standalone Funds for the second quarter ended 30 June 2013 (\$'000)



7.0 Fund Assets

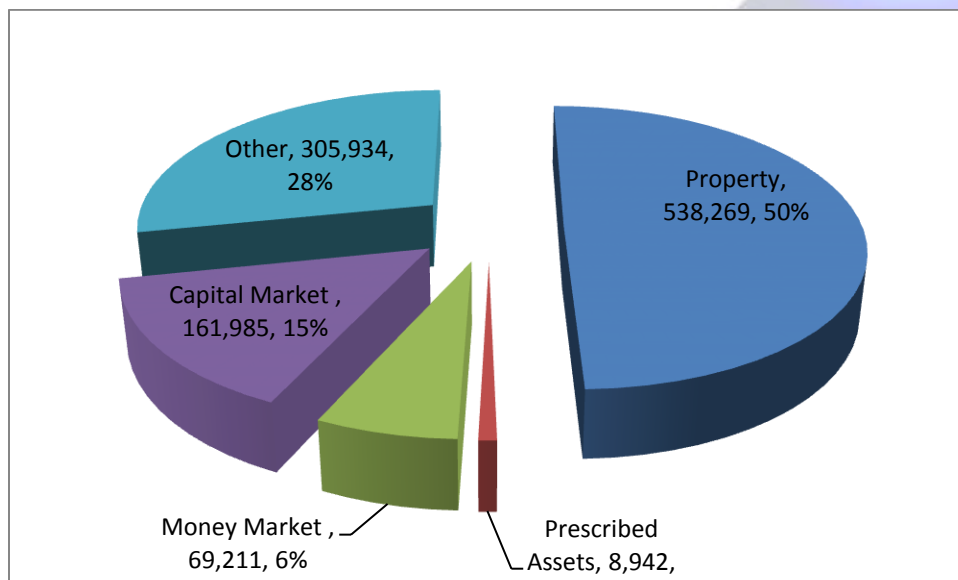
As at 30 June 2013, Standalone funds invested \$538million or 50% in properties (March 2013 \$528million or 53%), \$162million or 15% in capital market securities (March 2013: 15% or \$147million), \$69million or 6% in money market investments (March 2013:5% or \$51million), \$306million or 28% in other securities and 1% in prescribed assets (See Table 5 and Figure 4, below).

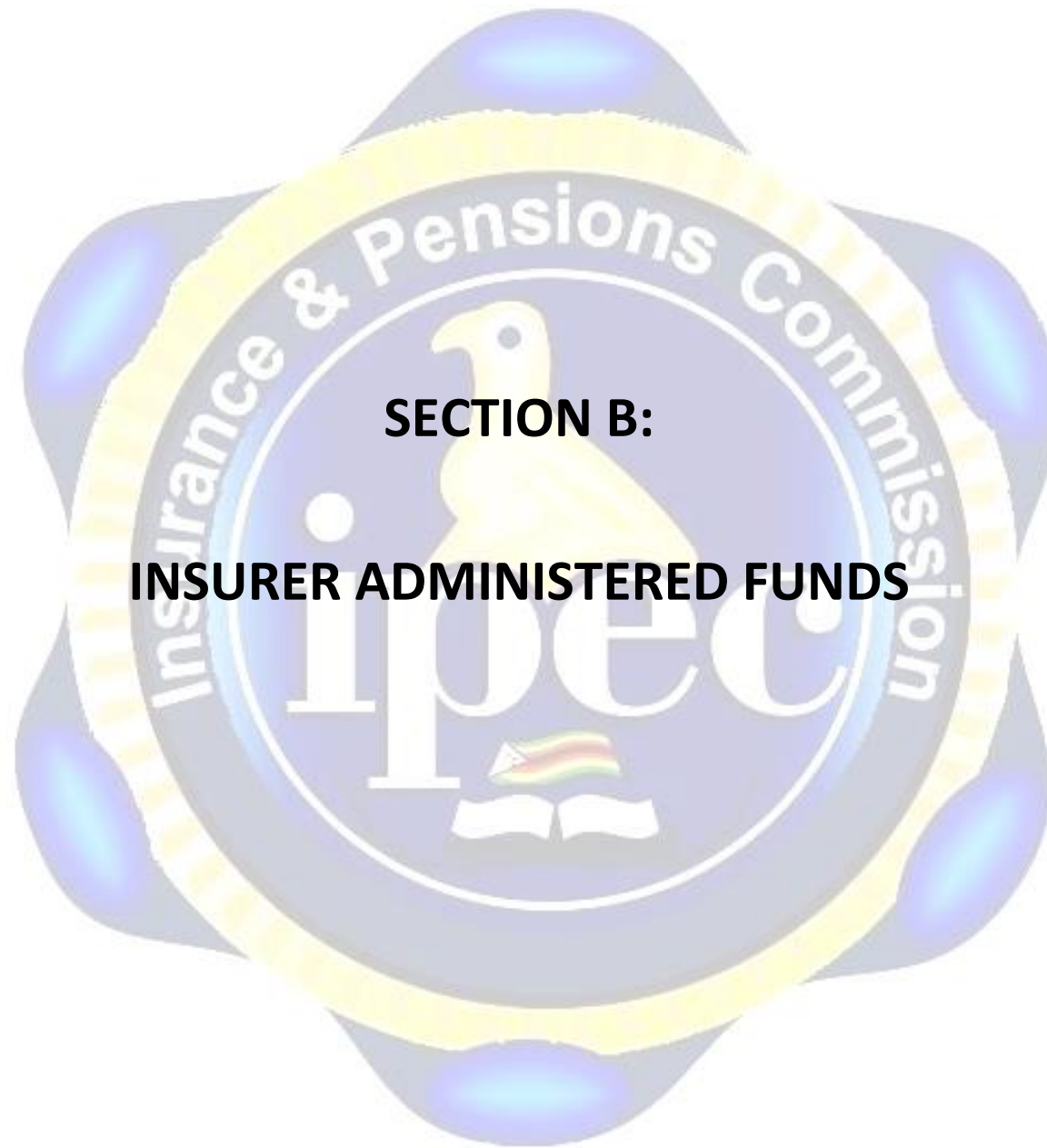
Funds must adhere to investment guidelines in line with Circular No.1 of 2013 which details investment guidelines per each asset class.

Table 5: Fund Asset Market Values per Standalone Fund for the second quarter ended 30 June 2013

Fund Name	Immovable Property(\$000)			Prescribed Assets(\$000)			Money Market Securities(\$000)			Capital Market Securities(\$000)			Other(\$000)			Total(\$000)		
	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth
Catering IPF	-	5,465		-	36		-	790		-	4,851		-	806		-	11,948	
Clothing IPF	11,100	11,100	0%	100	100	-	1,222	1,092	(11%)	3,818	3,657	(4%)	1,243	1,520	22%	17,483	17,469	-
CAIPF	83,771	83,891	-	2,250	2,000	(11%)	8,903	11,317	27%	19,994	23,597	(18%)	23,367	22,645	(3%)	138,285	143,450	4%
CIPF	12,282	12,342	-	102	101	1%	-	-	-	6,821	7,897	14%	1,582	1,588	-	20,787	21,928	5%
LAPF	68,839	68,839	(25%)	-	-	-	-	-	-	29,505	32,376	10%	80,798	88,335	9%	179,142	189,550	6%
MIPF	100,422	100,422	0%	5,074	3,574	(61%)	9,589	10,884	(30%)	51,674	59,312	19%	4,426	3,574	(19%)	171,185	177,766	4%
NRZ	228,415	229,218	-	500	500	-	19,899	20,220	2%	12,591	13,105	4%	123,745	161,200	30%	385,150	424,243	10%
ZB FHGPF	2,868			-			-			6,419			6,405			15,692		
ZMDC	-	1,574		-	1,323		-	567		-	121		-	436	-	-	4,021	-
ZESA PF	11,138	12,531	13%	356	356	-	9,960	15,480	55%	4,634	4,580	(1%)	22,928	21,701	(5%)	49,016	54,648	9%
GMB	4,532	8,151	80%	308	316	3%	912	80	(91%)	178	180	1%	1,002	1,372	37%	6,932	10,099	46%
Zimpapers	*	*		*	*		*	*		*	*		*	*		*	*	
Motor Ind	4,729	4,736	-	621	612	-	0	8,520	-	10,186	11,053	9%	2,721	2,545	(6%)	18,257	27,466	50%
E. & Young	0	0	-	0	24	-	50	261	422%	1,302	1,250	(4%)	30	10	(67%)	1,383	1,545	11%
Pentact P/F	0	0		0	0		0			7	6	(14%)	195	202	4%	202	208	3%
Aon Zim P/F	-	*		-	*		-	*		-	*		-	*		-	*	
Totals	528,096	538,269	8%	9,311	8,942	(21%)	50,535	69,211	51%	147,129	161,985	1.11%	268,442	305,934	22%	1,003,514	1,084,341	4%

Figure 4: Fund Asset Values for Standalone Funds for the second quarter ended 30 June 2013\$(000)





SECTION B:
INSURER ADMINISTERED FUNDS

1.0 Insurer Self Administered Pension Funds

This report covers 29 funds administered by 2 players .Comparable statistics were not at hand since our inaugural report was published mid year of 2012(See Table 1, below).

Table 1: Fund Administrators

Insurer	June 2013
First Mutual	6
Old Mutual	24
TOTALS	30

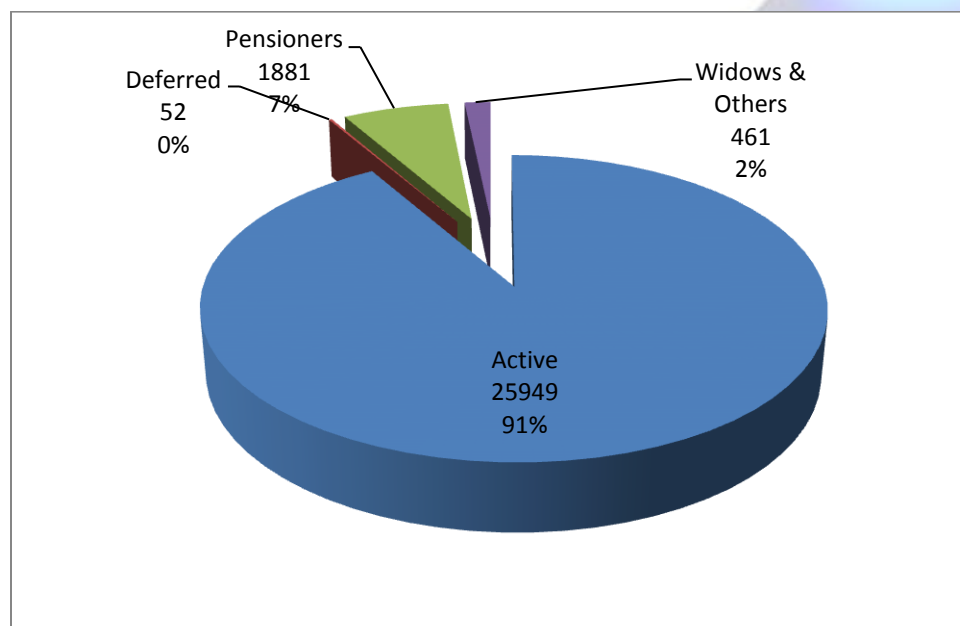
2.0 Pension Fund Membership

Total fund membership for insurer administered funds was 28 000 spread between 26 000 (93%), actives and pensioners 2000 (7%), (See Table 2 and Figure 1, below).

Table 2: Membership for Insured Self Administered Pension Funds for the second quarter ended 30 June 2013

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth
First Mutual	3841	4139	8%	-	-	-	20	-	-	24	-	-	(79)	(54)	(32%)	3885	4139	7%
Old Mutual	22333	21810	(3%)	52	52	-	1881	1881	-	461	461	-	(532)	(274)	(48%)	24727	24204	(2%)
Totals	26174	25949	(1%)	52	52	0	1901	1881	(1%)	485	461	(5%)	(611)	(328)	(46%)	28612	28343	1

Figure 1: Membership Statistics for Insured Self Administered Funds for the second quarter ended 30 June 2013



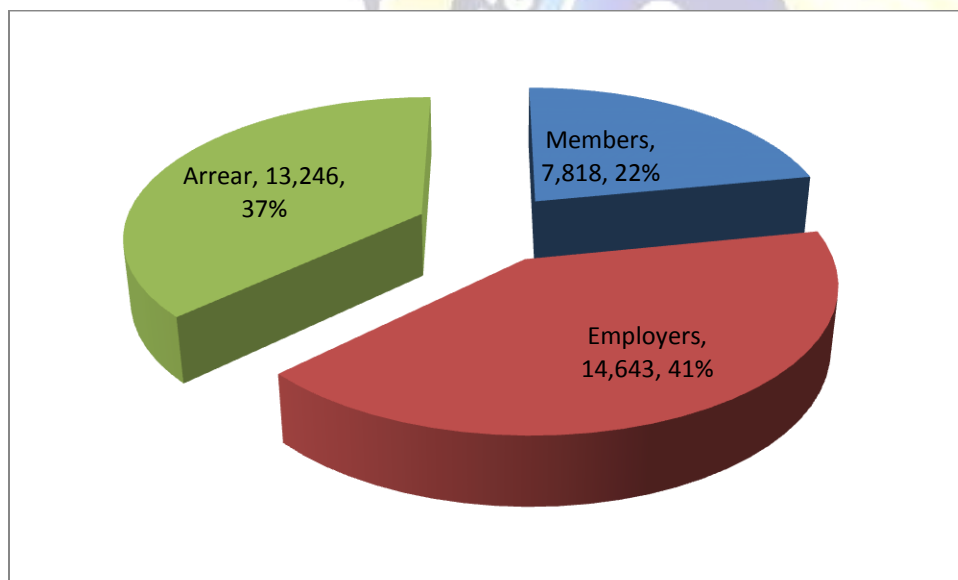
3.0 Contributions

Total contributions receivable by insurers were \$36million (March 2013:\$22million) although \$13million or 36% were in arrears due to the liquidity constraints facing the economy . The Commission is monitoring repayment plans in liaison with insurers and the defaulting employers (See Table 3 and Figure 2 below).

Table 3: Contribution Statistics for Insured Self Administered Funds for the second quarter ended 30 June 2013

Insurer	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth
First Mutual	471	2,356	300%	684	3,350	390%	-	-	-	5,047	5,754	14%	6,202	11,460	85%
Old Mutual	2,698	5,462	102%	5,384	11,293	110%	-	-	-	7,657	7,492	(2%)	15,739	24,247	54%
Totals	3,169	7,818	147%	6,068	14,643	141%			-	12,704	13,246	4%	21,941	35,707	63%

Figure 2: Contribution Statistics for Insured Self Administered Funds for the second quarter ended 30 June 2013 \$(000)



4.0 Income and Expenditure

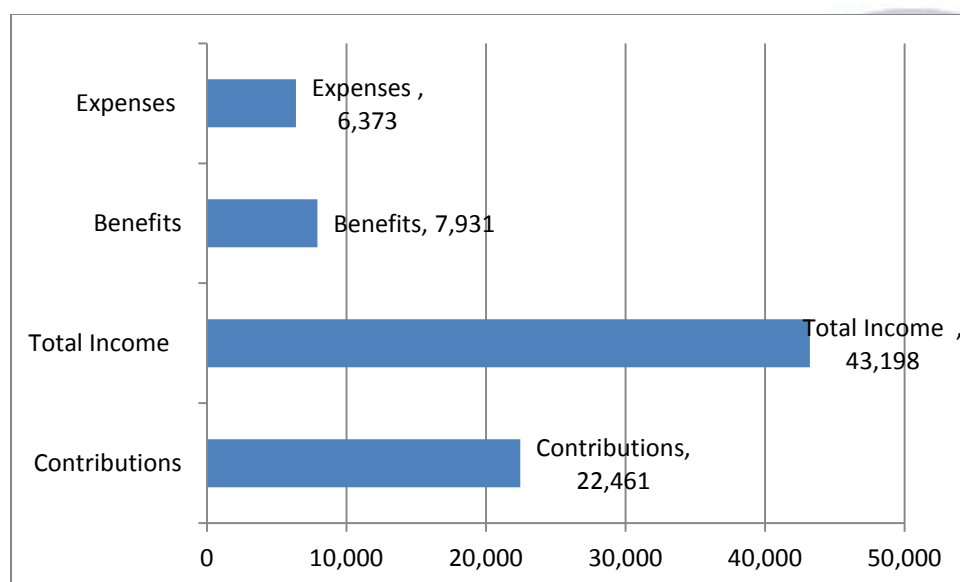
For the current reporting period, insurer administrators collected \$22million in contributions (March 2013: \$9million) and \$43million as total income (March 2013: \$22million) whilst total expenditure was \$6million, a 120% growth from the previous quarter.

Resultantly the expenses to contributions and expenses to income ratios were 28% and 15% respectively. Consequently expense growth rates unsustainably outweighed income streams which may compromise member values and pensions. IPEC will continue to explore various measures to arrest this scenario with key stakeholders (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self Administered Funds for the second quarter ended 30 June 2013

Insurer	Total Contributions(Excl arrears) \$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth
First Mutual	1,155	5,706	394%	2,605	5,820	123%	171	742	334%	170	856	404%	15%	15%	-	7%	15%	8%
Old Mutual	8,082	16,755	107%	19,488	37,378	92%	3,439	7,089	106%	1,172	5,517	371%	15%	33%	18%	6%	15%	8%
Totals	9,237	22,461	143%	22,093	43,198	96%	3,610	7,931	120%	1,342	6,373	375%	15%	28%	13%	6%	15%	9%

Figure 3: Income and Expenditure for Insured Self Administered Funds for the second quarter ended 30 June 2013 (\$000)



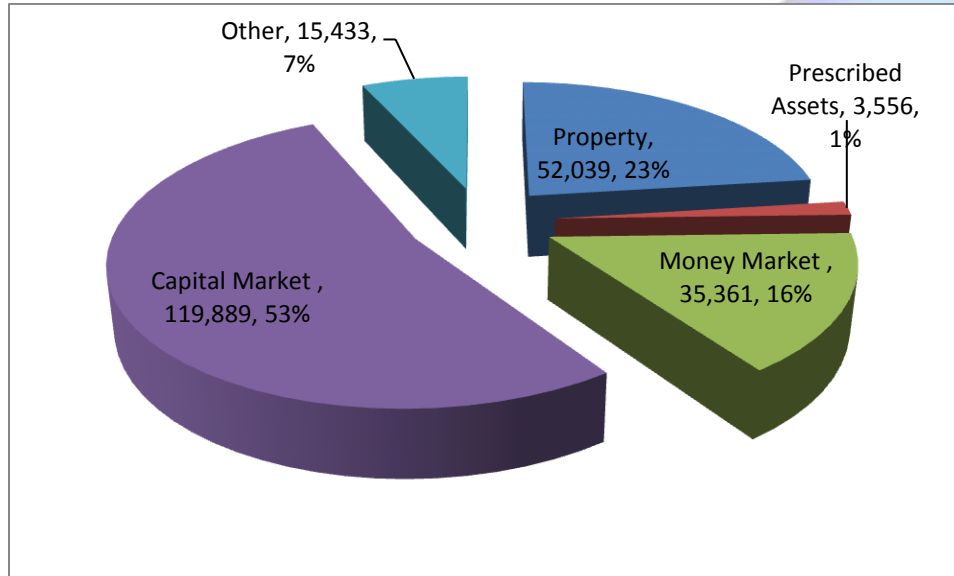
5.0 Fund Assets

In addition to employing actuarial input, funds must comply with Circular No.1 of 2013 on asset allocations. For the current reporting period, Insurer administered funds maintained the previous \$52million or 23% in properties, \$120million or 53% in capital market securities (March 2013: \$121million or 54%), money market securities -\$35million or 16% (March 2013: \$32million or 14%), \$15million or 7% in other securities and 3.6million or 1% in prescribed assets (See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics at Market Value for Insured Self Administered Funds for the second quarter ended 30 June 2013

Fund Name	Immovable Property\$(000)			Prescribed Assets\$(000)			Money Market Securities\$(000)			Capital Market Securities\$(000)			Other\$(000)			Total\$(000)		
	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth
F.Mutual	1,096	1,056	(4%)	507	451	(11%)	131	40	(69%)	12,211	14,625	20%	6,152	6,927	13%	20,097	23,099	(13%)
O.Mutual	50,966	50,983	-	3,533	3,105	(12%)	32,096	35,321	10%	108,545	105,264	(3%)	8,819	8,506	(4%)	203,959	203,179	0.50%
Totals	52,062	52,039	-	4,040	3,556	(12%)	32,227	35,361	10%	120,756	119,889	(1%)	14,971	15,433	3%	224,056	226,278	(1%)

Figure 4: Fund Assets \$(000)





**SECTION C:
FUND ADMINISTRATORS**

1.0 Fund Administrators

This report is based on 134 funds in the books of the listed administrators (See Table 1, below).

Table 1: Fund Administrators

Fund Administrator	June 2013
Aon Consulting	58
Comarton Consultants	28
Marsh	44
Zimbabwe Insurance Brokers	4
TOTALS	134

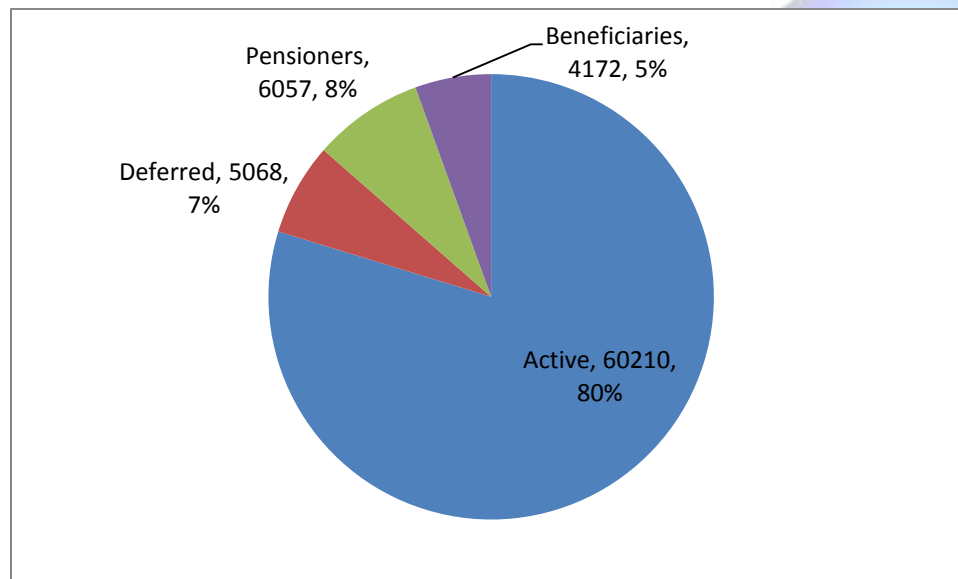
2.0 Pension Fund Membership

Fund membership was composed of 76 000 people distributed among 60 000 actives (80%), pensioners 6 000 (8%) and the balance spread between beneficiaries and deferred members (See Table 2 and figure 1 below).

Table2: Membership for Self Administered Funds for the second quarter ended 30 June 2013

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth
Aon	22101	27296	24%	684	691	1%	3437	715	(79%)	1515	533	(65%)	(426)	(581)	36%	27737	29235	5%
Comarton	16517	16232	(2%)	68	70	3%	1984	2080	5%	1635	1816	11%	(278)	(177)	(36%)	20204	20198	-
Marsh	16432	16457	-	4224	4307	2%	3165	3262	(3%)	1798	1815	1%	(157)	(212)	35%	25619	25841	1%
ZIB	-	225	-	-	-	-	-	-	-	-	8	-	-	(11)	-	-	233	-
Totals	55050	60210	9%	4976	5068	2%	8586	6057	(29%)	4948	4172	(16%)	(861)	(981)	14%	73560	75507	3%

Figure 1: Membership for the second quarter ended 30 June 2013



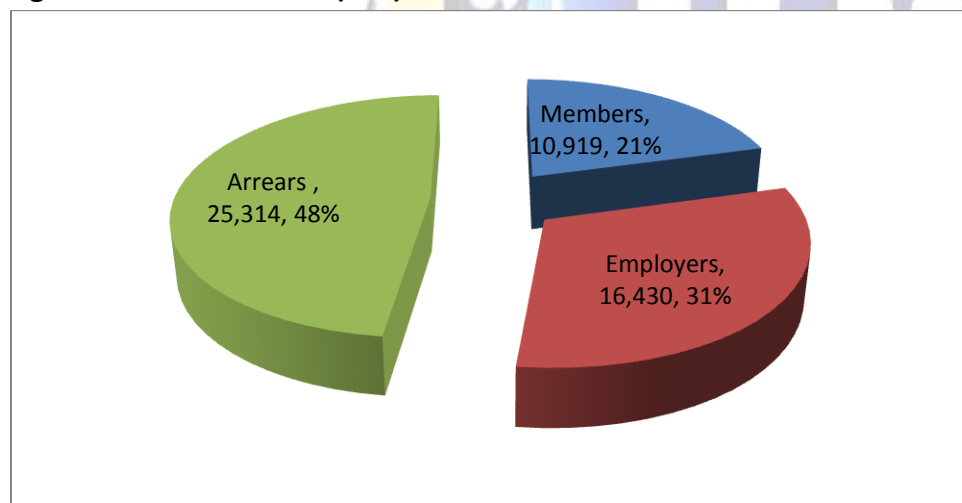
3.0 Contributions

For the quarter under review, total contributions collectable totaled \$53million (March 2013:\$41million) with \$25million or 48% in contribution arrears. The Commission continues to monitor this industry wide challenge in consultations with all key stakeholders (See Table 3, below).

Table 3: Contributions Statistics for Self Administered Funds for the second quarter ended 30 June 2013

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth
Aon	3,157	4,605	46%	6,825	6,775	(1%)	1,642	2,451	49%	2,899	2,451	(15%)	14,523	16,282	12%
Comarton	375	1,136	203%	881	2,095	138%	505	1,605	118%	10,760	11,946	11%	12,521	16,782	34%
Marsh	3,113	5,169	66%	4,278	7,538	76%	-	-	-	6,847	6,681	(2%)	14,238	19,388	36%
ZIB	-	9	-	-	22	-	-	13	-	-	167	-	-	211	-
Total	6,645	10,919	64%	11,984	16,430	37%	2,147	4,069	90%	20,506	21,245	4%	41,282	52,663	28%

Figure 2: Contributions \$(000)



4.0 Income and Expenditure

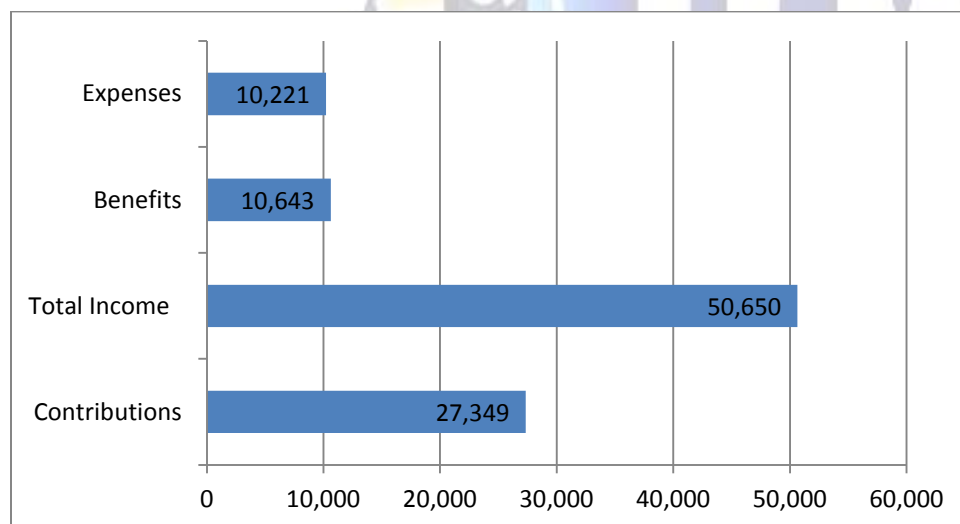
As at 30 June 2013, fund administrators had collected \$27million in contributions and realized \$51million in total income (March 2013:\$28million) whilst total expenditure was \$10million (March 2013: \$6million).

The expenses- to- contributions and expenses- to- income ratios were 37% and 20% respectively against international thresholds of up to 10%..The Commission will continue to engage industry with a view to getting justification for such punitive expenditure (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self Administered Funds for the second quarter ended 30 June 2013

Fund Name	Total Contributions(Excl arrears)(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 13	June 2013	Growth	Mar 13	June 13	Growth
Aon	9,982	11,380	14%	15,186	27,330	80%	3,186	5,120	61%	2,369	4,202	77%	24%	37%	3%	16%	15%	(3%)
Comarton	1,256	3,231	157%	2,265	5,573	146%	780	1,874	140%	1,185	2,454	107%	94%	76%	(62%)	52%	44%	(27%)
Marsh	7,391	12,707	72%	10,386	17,703	70%	2,166	3,646	68%	2,498	3,519	41%	34%	28%	(6%)	24%	20%	(4%)
ZIB	-	31	-	-	44	-	-	3	-	-	46	-	-	148%	-	-	105%	-
Totals	18,629	27,349	47%	27,837	50,650	82%	6,132	10,643	74%	6,052	10,221	69%	32%	37%	5%	22%	20%	(2%)

Figure 3: Income and Expenditure \$ (000)



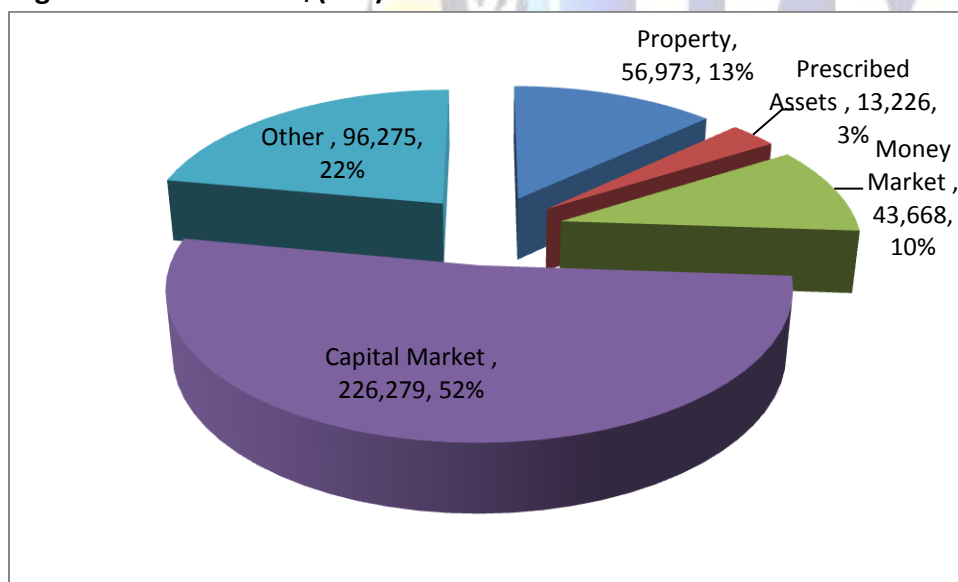
5.0 Fund Assets

For the current reporting period, administrators invested \$57million or 13% in properties (March 2013:\$65million or 16%), \$226million or 52% in capital market securities (March 2013: \$215million or 54%), money market securities -\$44million or 10% (March 2013:20% or \$80million),22% or \$96million in other securities and 3% in prescribed assets.

Table 5: Fund Asset Statistics at Market Value for Self Administered Funds for the first quarter ended 30 June 2013

Fund Name	Immovable Property \$(000)			Prescribed Assets \$(000)			Money Market Securities \$(000)			Capital Market Securities \$(000)			Other \$(000)			Total \$(000)		
	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth	Mar 2013	June 2013	Growth
Aon	21,469	13,427	(37%)	8,070	7,960	(1%)	47,580	7,461	(84%)	85,841	98,149	14%	9,569	80,000	736%	172,529	206,997	20%
Comarton	-	-	-	1,160	926	(20%)	12,814	14,572	14%	59,027	46,444	(21%)	-	0	-	73,001	61,942	(15%)
Marsh	43,387	43,522	-	4,205	4,330	3%	19,452	21,594	11%	69,798	81,449	17%	15,758	16,101	2%	152,600	166,996	9%
ZIB	-	24	-	-	10	-	-	41	-	-	237	-	-	174	-	-	486	-
Totals	64,856	56,973	(12%)	13,435	13,226	(2%)	79,846	43,668	(45%)	214,666	226,279	5%	25,327	96,275	280%	398,130	436,421	10%

Figure 4: Fund Assets \$(000)



6.0 Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table6: Issued Circulars and Statutory Instruments for the quarter year ended 30 June 2013

Details	Subject Matter	Issue date
Circular No. 6 of 2013	Insurance and Pensions Housing Fund (IPHF)	27 June 2013
Circular No.5 of 2013	Corporate reporting	20 June 2013
Circular No. 4 of 2013	Seminar on Modernizing Insurance Regulation	9 May 2013
Circular No.1 of 2013	Investment guidelines	20 March 2013
Statutory Instrument 20 of 2013	Capital Requirements for fund administrators	22 February 2013
Statutory Instrument 21 of 2013	Capital Requirements for Insurance companies	22 February 2013

Conclusion

The major industry challenges continue to be arrear contributions, high expense ratios, pension payout arrears and low member values and pensions. To guard against loss of confidence and credibility in this sector, all stakeholders must complement IPEC's efforts in arresting this unacceptable state of affairs.

